

# Module 3: The Roots of Modern Economics — Mercantilism to Economic Liberalism (1500–1790)

*Political & Economic Thought — Master Notes · by Jakob V. Stangel*

**Readings:** Backhouse, *The Penguin History of Economics* (2023), pp. 53–65 (ch. 3, *The Emergence of the Modern World View* — Mercantilism) and pp. 106–142 (chs 5–6, the French Physiocrats and Adam Smith) · article: "Is Mercantilism Back?" (M. U. Ghani, *Modern Diplomacy*, 2018).

Two flags on the reading range. (1) The Physiocrats' core — Quesnay and the *Tableau économique* — sits on pp. 98–105, just before the assigned p. 106; since "The French Physiocrats" is a named topic, I've pulled that in. (2) The assigned range runs to p. 142, which spills into ch. 7 (Malthus, Bentham, Ricardo) — beyond the module's 1790 endpoint — so those get a brief *where-it-leads bridge*, not full treatment. Tell me if you'd rather I expand or trim either.

**Theme of the module.** The 300-year journey of economic thought from the age of nation-states to the eve of the French Revolution — the birth of economics as a discipline and the slow shift from "the state should manage wealth" to "leave the market alone." Three stations: Mercantilism (wealth = treasure; the state builds it up in a zero-sum struggle) → Physiocracy (wealth = the net product of agriculture; the state should follow nature and let trade be free) → Adam Smith (wealth = labour and the division of labour; the invisible hand of self-interest under natural liberty).

★ The heart of the module — three answers to "what is wealth, and what should the state do?"

- **Mercantilism:** wealth = gold & silver (treasure), pursued in a zero-sum contest between nations; the state engineers a trade surplus (tariffs, export promotion, stockpiling bullion). Economics is national power.

- **The Physiocrats (Quesnay):** wealth = the "net product" of the land — only agriculture is "productive", trade & manufacturing are "sterile"; the economy is a circular flow (the *Tableau économique*); the state should stop meddling — "laissez-faire, laissez-passer."

- **Adam Smith:** wealth = the annual produce of labour, multiplied by the division of labour (limited by the extent of the market); left to natural liberty, self-interested individuals are led "as by an invisible hand" to enrich society. The state's job shrinks to justice, defence, and a few public works.

**The red thread.** For each thinker ask the two questions: (1) Where does a nation's wealth come from? and (2) What, therefore, should government do about the economy? The answers march steadily from state control toward the free market — and the closing article asks whether, with Trump-era tariffs, the first answer (mercantilism) is coming back.

**Framing (Backhouse's method — same as Galbraith in Module 1).** Economic ideas are responses to their time: mercantilist writers answered the money-shortages of new nation-states; the Physiocrats

answered the ruin of French agriculture under Louis XIV/XV; Smith answered the debate (opened by Hobbes and Mandeville) about *what holds a commercial society together* once religion no longer does.

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## Mercantilism — the economics of the nation-state (Backhouse, pp. 53–65)

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Book: Backhouse, *The Penguin History of Economics*, ch. 3 "The Emergence of the Modern World View" (extract pp. 53–65).

### Reading résumé

The chapter sets the **16th-century backdrop** to modern economics: the **Scientific Revolution**, the **Reformation**, and above all the **rise of the European nation-state** — a new kind of political unit, chronically **short of money**, that started asking *how to increase the economic power of the nation*. Out of this came **mercantilism**: the loose family of ideas and policies that treat **national wealth (especially bullion)** as the object of state policy in a competitive struggle with other nations. Backhouse stresses mercantilism was **never a single doctrine**, and introduces the era's genuinely new economic thinking — the **quantity theory of money** (School of Salamanca, Bodin) and early **price-mechanism** reasoning (Sir Thomas Smith).

★ **The heart of the reading:** the **nation-state** — a defined territory whose king holds a **monopoly of force** but has **meagre revenue** — reorganised economic thinking around **national power**.

"Mercantilism" is the label (coined later, popularised by Adam Smith as a target) for the resulting policies: **build industry, run an export surplus, pile up precious metals**. Backhouse's warning: use the word **sparingly** — it lumps together three centuries and many countries that don't fit one model.

**The red thread.** Read the chapter as "*what happens to economic thought once the nation-state, not the household or the Church, becomes the unit of analysis?*" Answer: wealth becomes **national**, competitive, and a matter of state policy.

### Key concepts / "modes" to use

- **The nation-state** — defined territory + shared identity + a king with a **monopoly of military (hence political) power**; but **meagre tax/administrative capacity**.
- **Mercantilism** — state power used to **build industry, secure an export surplus, accumulate precious metals**; economics centred on the nation as a **competitor**.
- **Bullionism / balance of trade** — treasure = national power (pays armies; may stimulate output); aim = **exports > imports**.
- **Quantity theory of money** — prices depend on the **quantity of money**; American silver → the "**price revolution**." (Salamanca; Bodin.)
- **The price mechanism / self-interest** — early recognition (Sir Thomas Smith) that **incentives** drive behaviour — a crack in scholastic "just price" thinking.

## Section-by-section main points

### The rise of the European nation-state

**Core:** from the **15th century**, power consolidated from a medieval jumble (emperor vs pope vs local princes) into **nation-states** — defined territory, shared identity, a king with a **monopoly of force**. England led (secure island borders); France and Spain followed.

- **The fiscal problem that drives everything:** these states had "**extremely meagre resources**" — they had to raise armies and navies but had weak tax and administrative machinery. Kings were "**chronically short of money**." → so rulers (and writers) began asking **how to increase the nation's economic power**.
- **A changing economic environment:** the Portuguese/Spanish **voyages** opened long-distance maritime trade; **American gold and silver** flooded in and **prices began to rise**; the Church's shrinking role forced the **state** to take on new duties (e.g. Elizabeth I's **Poor Law**, 1597–1601).
- **Two big shifts:** the decline of independent **city-states** (rising **capital** cities — London 50,000 → 575,000, 1500–1700) and the rise of the **North-Sea** economies over the **Mediterranean**.
- (Context also covered: the **Scientific Revolution** — Copernicus → Newton, "*the universe governed by mechanical laws, not kept in motion by God*" — and the **Reformation**, which broke the single religious authority and created a "**problem of political obligation**" that natural-law thinking, and later Hobbes/Grotius/Locke, would answer.)

### What "mercantilism" is (and isn't)

**Core:** mercantilism = using state power to (a) build up industry, (b) secure a surplus of exports over imports, and (c) accumulate stocks of precious metals — because treasure = national power (it pays armies and can stimulate output).

- **The word is a later label.** "Mercantilism" wasn't used until the **later 18th century** (coined by the Marquis de Mirabeau, 1763; popularised by Adam Smith, 1776, as a name for policies he was attacking). Smith "grossly oversimplified his predecessors."
- **Not one doctrine.** The "mercantilist" era spans **3–4 centuries** and countries from rich England/Netherlands to backward eastern Europe. Backhouse lists **four proposed goals** — (1) **unification** via national tariffs + internal free trade; (2) **state revenue** through economic development; (3) **high employment** via trade + more money; (4) **accumulation of treasure** — but "different aims applied in different countries at different times," so policies are better explained as **responses to particular problems** than as one grand design.
- **Both policies and ideas.** The term covers the **statesmen** (e.g. Colbert under Louis XIV) and the **writers** who theorised — academics, lawyers, officials, **merchants**, "speculators and adventurers" — hence "no uniform mercantilist doctrine." Backhouse says he'll use the word **sparingly**.

### Machiavelli — the method behind the era

**Core:** the best-known thinker of the 16th c., Machiavelli (*The Prince*, 1513), matters less for his ruthless precepts than for his **method** — separating **politics from morality** and reasoning from a fixed assumption about human nature.

- He assumed people act **unscrupulously / self-interestedly** — "not because he believed men had no moral principles, but because this was **the safest and most reliable assumption to make.**" (*This is exactly the analytic move economics will make with "self-interest" — and that Hobbes makes in politics.*)

## | The School of Salamanca & the quantity theory of money

**Core:** faced with **American treasure** and **rising prices**, Spanish scholastics and the Frenchman **Bodin** worked out that **the value of money depends on its scarcity** — the quantity theory of money — the era's most important genuinely new economic idea.

- **Navarrus (Martín de Azpilcueta), 1556:** money is just another commodity — "**all merchandise becomes dearer when it is in great demand and short supply, and... money... is merchandise.**" So prices rose "*after the discovery of the Indies, which flooded the country with gold and silver*" — i.e. **money had fallen in value.** He used this to justify moderate profit from **money-changing** (a relaxation of the usury ban).
- **Thomas de Mercado:** laws forbidding the **export** of money will fail — money leaves because it's **valued more abroad**; the only way to keep it is to **raise its domestic value.**
- **Jean Bodin (1568):** independently blamed the "price revolution" on the **abundance of gold and silver**, not on scarcity or monopoly — with detailed cross-Europe monetary evidence.
- **Why it matters:** these writers **push moral questions aside** to analyse *what actually happens* — a decisive step away from the scholastic "just price."

## | England under the Tudors — Sir Thomas Smith's *Discourse*

**Core:** the sharpest English economics of the period, the *Discourse of the Common Weal* (c. 1549, likely **Sir Thomas Smith**), reasons from **incentives and self-interest** — anticipating the price mechanism.

- **On inflation:** distinguishes **real vs money incomes** (rising prices hurt those on **fixed** incomes — fixed-rent landlords, fixed-wage workers — while buyers/sellers gain); explains inflation first by **currency debasement** (the "Great Debasement" of 1542–51), later (1581, after reading Bodin) by the **increase in the quantity of money** from imported silver.
- **On enclosure:** landlords fenced common land for **sheep** because **wool prices were high relative to grain.** Smith's fix is **not** to legislate against enclosure but to make sheep-farming **less profitable** — remove the **tariffs** that made wool exports so lucrative. ("*Men would not engage in difficult work unless they received an appropriate reward.*")
- **The break with scholasticism:** Smith backs **balance-of-trade** ("mercantilist") policies, **but** shows a **keen awareness of the price mechanism** and assumes men are **motivated by self-interest** — "a major break with scholastic economics," in the spirit of Machiavelli's method.

## Cases & examples

- **The 16th-c. "price revolution."** American gold/silver flowed into Europe; prices, which had fallen for two centuries, **rose sharply** (English wheat 4–5× over the century). → *Illustrates: the quantity theory of money — more money, lower money-value, higher prices (Salamanca, Bodin).*
- **Colbert (France, under Louis XIV).** The archetypal mercantilist statesman: state-directed industry, tariffs, raising revenue through economic development. → *Illustrates: mercantilism as **policy** (not just*

ideas) — the target Adam Smith would later attack.

- **Tudor enclosure.** Common land fenced for sheep because wool > grain in price. → *Illustrates: incentives/price mechanism driving behaviour — Smith's proto-economic reasoning.*

## Key terms

| Term                       | Meaning                                                                                                     |
|----------------------------|-------------------------------------------------------------------------------------------------------------|
| Nation-state               | Defined territory + shared identity + a king with a <b>monopoly of force</b> ; chronically short of revenue |
| Mercantilism               | State power used to build industry, run an <b>export surplus</b> , and accumulate <b>precious metals</b>    |
| Bullionism                 | The equation of national <b>wealth/power</b> with stocks of <b>gold and silver</b>                          |
| Balance of trade           | Aim of <b>exports &gt; imports</b> to bring in treasure                                                     |
| Quantity theory of money   | Prices depend on the <b>quantity of money</b> in circulation (Salamanca, Bodin)                             |
| Price revolution           | The 16th-c. inflation caused by American silver                                                             |
| Just price → self-interest | The shift from scholastic morality of price toward <b>incentive/price-mechanism</b> analysis                |

## Exam pointers

- Define mercantilism by its three policy planks — and give Backhouse's **caveat** (a *later* label, no single doctrine, use sparingly).
- Explain the quantity theory of money via the price revolution (American silver → money falls in value → prices rise).
- Show how the nation-state's fiscal weakness *drove* mercantilist thinking (money for armies).
- Use Sir Thomas Smith and Machiavelli's method as the early cracks where **self-interest / the price mechanism** enters economics.

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## The French Physiocrats — the *Tableau économique* & laissez-faire (Backhouse, pp. 98–109)

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**Book:** Backhouse, *The Penguin History of Economics*, ch. 5 "Absolutism and Enlightenment in Eighteenth-Century France" (extract pp. 98–109).

## Reading résumé

The **Physiocrats** (*Les Économistes*) — **François Quesnay** and the **Marquis de Mirabeau**, active 1756–63 — were the **first organised group of economists**. Against the backdrop of the **Enlightenment** (reason,

progress, liberty) and a French economy strangled by taxes and regulation, they built the first **abstract model of the whole economy**, the Tableau économique, and preached "**laissez-faire**." Their signature (and most contested) claim: only **agriculture** yields a **net product** (surplus) — it alone is "**productive**"; trade and manufacturing are "**sterile**." **Turgot** and **Gournay** extend the free-market case and push economics toward Adam Smith.

★ **The heart of the reading:** the economy is a **circular flow of money and goods** between three classes (proprietors, farmers, artisans), and only the **land** produces a genuine **surplus** (the "**net product**"). Model it (the *Tableau*), stop taxing and regulating agriculture, and let it circulate — "**laissez-faire, laissez-passer**" ("let it be, let it flow"). The state should **work with nature** (*physiocracy* = "rule of nature"), not against it.

**The red thread.** *Where does the surplus come from, and how do you keep it circulating?* Physiocracy's answer — **from the land; by leaving the economy alone** — is the first systematic case for **free markets**, even if its "only-agriculture-is-productive" premise is wrong.

## Key concepts / "modes" to use

- **Physiocracy** — "rule of nature"; the economy obeys **natural laws** the state should respect (Quesnay was a *physician* — an analogy with the **circulation of blood**).
- **Productive vs sterile classes** — only **agriculture** yields a **net product**; **manufacturing & trade** merely cover costs.
- **The *Tableau économique* (1758)** — a **diagram of the circular flow** of money/goods among **proprietors, farmers, artisans**.
- **Net product / surplus (*produit net*)** — output above the costs of production; the source of **rent** and of growth.
- ***Laissez-faire, laissez-passer*** — remove taxes, tariffs, guild restrictions; let trade and cultivation be free (Gournay; Turgot).

## Section-by-section main points

### The Enlightenment backdrop

**Core:** the **Enlightenment** — belief in **reason, progress, liberty, toleration** — set the stage: reason would **replace** religious authority and tradition as the test of all things (Newton in nature, **Locke** in the mind and in politics).

- In **France**, relaxed censorship (mid-1740s) released a flood of criticism; **Diderot & d'Alembert's *Encyclopédie*** (28 vols, 1751–72) aimed to gather **all human knowledge**, including economics. The **Physiocrats** grew directly out of this reforming, reason-driven moment.

### Quesnay & the productive/sterile classes

**Core:** **Quesnay** — court physician to **Madame de Pompadour** — analysed society like a **body**: to understand it you must understand **how it feeds itself**. His conclusion: **only agriculture yields a net product**, so it is "**productive**"; trade and manufacturing are "**sterile**" (they just cover their costs).

- **Why land is special:** an "advance" (capital) in farming produces **more** than it costs — a **surplus** that accrues to landowners as **rent**. Industry, however essential, "**produced no surplus... simply covered its costs.**" → **agricultural capital is the key to growth.**
- **Three classes:** **proprietors** (landowners, who receive rent), **farmers** (the productive class — esp. capital-rich **tenant-entrepreneurs** who can afford efficient techniques), and **artisans** (the sterile class — manufacturing/trade).

## ★ The *Tableau économique* — the first model of the economy

**Core:** Quesnay's *Tableau économique* (1758) is a **diagram of the circular flow** — how money and goods pass between the three classes over a year, assuming **ideal conditions for agriculture**. It's the ancestor of modern national-income/input-output analysis.

- **The worked numbers (Backhouse's version):** farmers start with **£2m** of capital (in corn), proprietors with **£2m** of money. Agriculture yields a **100% surplus**. Proprietors spend their **£2m rent** half on food, half on manufactures → money circulates in successive rounds (£1m + £0.5m + £0.25m...) so **each sector ends up with £2m of income**. But manufacturing spends its remaining £1m buying **raw materials from agriculture**, so **all the money flows back to the land**, which alone ends the year with a **£1m financial surplus** → paid to proprietors as **rent**. *The accounts balance, and only agriculture regenerates the surplus.*
- **Up to 24 conditions** must hold for this ideal flow — e.g. *the whole revenue is spent (not hoarded); taxes don't destroy revenue; farmers have enough capital for a 100%+ surplus; free external trade in raw produce; people free to cultivate as they think best.* **None** held in France → so achieving them was a **radical policy agenda**.
- **The political payoff:** Quesnay ran the *Tableau* to **show what wrecks the flow** — **taxation, interference with agriculture, artificial stimulation of manufacturing, keeping food prices low** (all Bourbon policies) → all **reduce output**. (*A small tax on both sectors, he showed, shrinks next year's agricultural advance — the economy declines.*)

## Gournay, Turgot & laissez-faire

**Core:** the free-market slogan and its rationale come from this circle: **Vincent de Gournay** popularised "*laissez-faire, laissez-passer*," and **Turgot** gave it a principle — **every man knows his own interest best**.

- **Gournay:** mercantilist regulations (a city treating other Frenchmen as foreigners; ruining a weaver for sub-guild cloth) "**did not make sense**"; free trade would "excite the greatest competition... and the most advantageous price to buyers."
- **Turgot's principle:** "*in general every man knows his own interest better than another to whom it is of no concern*" → when **individual interest = the general interest** (as in unrestrained commerce), **leave men at liberty**. Government should **remove barriers to trade, simplify taxes, give everyone the right to work**.
- **Turgot's own reforms (as Controller-General, 1774–76):** freed the **grain trade**, abolished **guilds** and **forced labour (corvée)**, funded roads by a **land tax** — but "trampled on numerous vested interests" and he was **dismissed** in 1776 (many reforms reversed).
- **Turgot beyond Physiocracy (capital & value):** he broke with the Physiocrats by arguing **industry and lending also create wealth**. Savings become **capital** that can be **lent (interest)**, **buy land**

(rent), or invested in industry (profit) — and **competition equalises the returns** (adjusted for risk), so the **rate of interest is a price set by supply and demand**. He also developed a **subjective theory of value** ("esteem value" → "exchange value"; value measured only against other goods, via a *numéraire*) — ideas that fed straight into **Adam Smith**.

## Cases & examples

- **The Tableau économique (1758)**. The three-class circular-flow diagram with the £2m/£2m/100%-surplus arithmetic. → *Illustrates: the first **model** of the whole economy, and the claim that **only land** regenerates the surplus.*
- **Turgot's reforms (1774–76)**. Freeing grain, abolishing guilds and the corvée — then dismissal. → *Illustrates: **laissez-faire** meeting **vested interests**; economic liberalism as a **practical reform programme**, not just theory.*

## Key terms

| Term                                   | Meaning                                                                              |
|----------------------------------------|--------------------------------------------------------------------------------------|
| Physiocracy                            | " <b>Rule of nature</b> " — the economy obeys natural laws the state should respect  |
| Productive vs sterile                  | Only <b>agriculture</b> yields a net surplus; trade/manufacturing merely cover costs |
| Net product ( <i>produit net</i> )     | Output above production costs — the source of rent and growth                        |
| <i>Tableau économique</i>              | Quesnay's <b>circular-flow diagram</b> of money/goods among the three classes (1758) |
| Laissez-faire, laissez-passer          | "Let it be, let it flow" — remove taxes, tariffs, guilds; free trade & cultivation   |
| Esteem value / exchange value (Turgot) | Value is <b>subjective</b> , measured only against other goods                       |

## Exam pointers

- Explain the **Tableau économique** — the three classes, the **circular flow**, and why **only agriculture** ends with a surplus.
- Define **productive vs sterile** and state the **flaw** (manufacturing *does* add value — Turgot and Smith correct this).
- Trace **laissez-faire** from Gournay's slogan → Turgot's "everyone knows his own interest" → the bridge to **Smith**.
- Note **Turgot's break** with Physiocracy (capital/interest/industry, subjective value) as the direct feed into Smith.

**Bridge.** Physiocracy is the **hinge** between mercantilism and Smith: it keeps a *state-of-nature*-style faith that the economy has **natural laws** (like Grotius'/Hobbes' natural law in politics), drops mercantilist

meddling for **laissez-faire**, but wrongly confines wealth-creation to the land. **Smith** keeps the free-market conclusion, generalises "productive" labour beyond farming, and supplies the mechanism — the invisible hand.

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## Adam Smith & the Scottish Enlightenment (Backhouse, pp. 110–131)

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**Book:** Backhouse, *The Penguin History of Economics*, ch. 6 "The Scottish Enlightenment of the Eighteenth Century" (extract pp. 110–131).

### Reading résumé

The **Scottish Enlightenment** — a burst of intellectual life in a then-backward country — produced modern social science: **secular, empirical, historical**, tracing how societies **evolve through stages**. Its economics runs **Hutcheson → Hume → Steuart → Adam Smith**. Smith's *Wealth of Nations* (1776) is its crown: he explains **economic growth** through the division of labour, shows how **markets** channel **self-interest** into the public good via the invisible hand under a system of **natural liberty**, and attacks both the **mercantile** and **agricultural (Physiocratic)** systems — *but* he is **not** a pure laissez-faire dogmatist: he keeps a real role for the state (justice, defence, public works).

★ **The heart of the reading:** the wealth of a nation is the **annual produce of its labour**, and the engine of growth is the **division of labour** (limited by the **extent of the market**). Under **natural liberty**, individuals pursuing their own gain are led "**as by an invisible hand**" to serve society — so **free competition**, not state direction, creates wealth. Smith answers **Hobbes & Mandeville's** question — *what holds a commercial society together?* — with: **self-interest, within a framework of justice**.

**The red thread.** *How does a society of self-interested strangers grow rich and stay together?* Smith's answer weaves the moral question (*Theory of Moral Sentiments*) into the economic one (*Wealth of Nations*): **justice + liberty + the division of labour + the invisible hand**.

### Key concepts / "modes" to use

- Four-stages theory — societies evolve: **hunting → pasture → agriculture → commerce** (each with its own property/law).
- **Sympathy & the impartial spectator** (*Theory of Moral Sentiments*, 1759) — how morality binds a commercial society.
- Division of labour — the main cause of growth; **limited by the extent of the market**.
- **Natural price vs market price** — competition makes market price **gravitate** to the natural (cost-covering) price.
- **The invisible hand** — self-interest under competition produces socially beneficial outcomes **unintended** by anyone.

- Productive vs unproductive labour — productive labour "fixes" value in a vendible commodity → capital accumulation ("parsimony").
- Natural liberty / laissez-faire — with limits — the state's **three duties** (justice, defence, public works).

## Section-by-section main points

### | The Scottish Enlightenment & the four stages of society

**Core:** the Scottish thinkers made social thought **secular, scientific, and historical** — they assumed **human nature is constant** but that its **environment changes**, so societies **progress through stages**.

- **The four stages:** **hunting/gathering** → **pasture** (domesticated animals → property → inequality) → **agriculture** (land as property, inheritance, law) → **the exchange/commercial economy** (classes, the division of labour, mutual dependence). "Economics, politics and law all bound up together."
- **Why Scotland?** Awareness of Scotland's **backwardness** vs England (post-1707 Union), a **Presbyterian/Calvinist** individualism, and a legal system based on **Roman/natural law** (not English common law) — all fed the comparative, historical outlook.

### | Hutcheson, Mandeville & Hume

**Core:** two debates set up Smith: **Hutcheson vs Mandeville** on whether men are selfish, and **Hume** on money and labour.

- **Mandeville's *Fable of the Bees* (1714):** "private vices, public benefits." A prosperous hive thrives on **vice and luxury** (even burglars employ locksmiths); when a moral revolution imposes thrift, industries **collapse**. Moral: **men are naturally selfish, but in a well-ordered society this produces public benefit**. (*But Mandeville still wanted trade regulation — not full laissez-faire.*)
- **Hutcheson** (Smith's teacher) **rejected** Mandeville's pure selfishness: men are also **altruistic**, driven by "a variety of motives" (self-care, feeling for others, the desire to better one's condition). He stressed the division of labour and a **supply-and-demand theory of value** — both handed to Smith.
- **Hume:** ① **money is not wealth** — "the oil which renders the motions of the wheels of trade more smooth"; more money just raises prices (**quantity theory**), though a *rising* money supply can *temporarily* stimulate industry. ② **labour is the true source of wealth** ("everything... is purchased by labour"); **manufactures store up labour** the state can draw on. ③ He **demolished mercantilism** with the **price-specie-flow** idea: a trade surplus raises your prices and **drives industry abroad** — money "finds its own level" like water, so bullionist policy is **self-defeating**.
- **Sir James Steuart** (*Principles of Political Economy*, 1767 — first to use "political economy" and "supply and demand" in English): stressed the "**statesman**" managing the economy to keep **supply and demand balanced** and maintain **employment** — a **more interventionist** view that Smith's *Wealth of Nations* eclipsed a few years later.

### | The Theory of Moral Sentiments — what holds society together

**Core:** Smith's **first** book (1759) asks how selfish creatures can **live together**. The key mechanism is **sympathy** — the capacity to see our own conduct through the eyes of an "**impartial spectator**" —

reinforced by **moral rules** and, where needed, **positive law**.

- **The crucial claim (the frame for *Wealth of Nations*):** a commercial society can flourish even **without mutual love** — "from a sense of its utility... a mercenary exchange of good offices." **But** it *cannot* survive without **justice**: "society... cannot subsist among those who are at all times ready to hurt and injure one another." → **Beneficence is optional; justice is essential.** *This is why Smith's economics always assumes a framework of justice — unlike a Hobbesian state of nature.*

## ■ The division of labour & the extent of the market

**Core:** the most important cause of economic growth is the division of labour — and it is "limited by the extent of the market."

- **The pin factory:** one untrained worker might make **1 pin a day**; split into **18 operations**, ten workers make **48,000 pins a day**. Division of labour is carried furthest in the most advanced countries.
- **Two levels:** within a **factory**, and the social division of labour (different people do different jobs and exchange). It springs from a natural human "**propensity to truck, barter, and exchange**."
- **Limited by the market:** in a village one person is carpenter-joiner-cabinetmaker at once; in a city each is a separate trade. Bigger markets → finer specialisation → more growth (hence the importance of **water transport** for widening markets).

## ■ ★ Value, natural price & the invisible hand

**Core:** competition makes the **market price** of a good **gravitate** toward its **natural price** (the price that just covers **wages + profit + rent**) — and this self-regulating mechanism is the "invisible hand": self-interest, under competition, unintentionally serves society.

- **Real vs nominal price:** the **real** price of a thing is "the toil and trouble of acquiring it" (a quantity of **labour**); the **nominal** price is its money price.
- **Natural vs market price:** the market price rises/falls with **supply and demand**; the **natural price** is "the central price, to which the prices of all commodities are continually gravitating." **Competition** does the work — if profits in hats are above normal, capital moves in, supply rises, the price falls back to natural.
- **The invisible hand:** because capital and labour are **free to move** to their most profitable use, the market "can work like an invisible hand, causing people to produce what other members of society want, even when individuals have **no intention** to do anything for anyone else." → **self-interest** → **public benefit**. (*Backhouse notes Smith uses the phrase **only once** in each of his major books — it was later generations who made it his emblem.*)
- This is why Smith **denounced mercantilist restrictions**: they benefit particular groups but **obstruct competition**.

## ■ Capital accumulation & productive labour

**Core:** growth needs **capital** ("stock"), and capital grows only if labour is employed **productively**.  
"Capitals are increased by parsimony [saving], and diminished by prodigality."

- **Productive vs unproductive labour:** **productive** labour "fixes itself in a vendible commodity" that can later be sold to command more labour (the manufacturer, the farmer); **unproductive** labour leaves nothing behind (the menial servant — and even "the sovereign... judges... the army"). (*Here Smith is closer to Turgot than to Hume/Hutcheson.*)
- **Saving = investment (contra Mandeville):** Smith denies that **luxury spending** is needed to maintain demand — "what is annually **saved** is as regularly **consumed** as what is spent... but by a different set of people" (productive labourers). Saving is just spending that employs **productive** labour. (*This lets Smith dismiss the mercantilist worry about deficient demand.*)

## ★ Natural liberty & laissez-faire — with limits

**Core:** Smith's "system of natural liberty" — everyone free to bring their capital into competition — is contrasted with the **mercantile** and **agricultural (Physiocratic)** systems he criticises. **But Smith is not a pure laissez-faire ideologue:** he assigns the state **three essential duties**.

- **Against monopoly:** monopoly (usually a government-granted privilege) is "a great enemy to good management"; free competition forces efficiency.
- **The three duties of the sovereign (the limits on laissez-faire):**
  1. **Justice** — a system of law; **without justice, natural liberty can't function** ("the first duty of the sovereign"). (*Even the Navigation Acts — restricting shipping — Smith supported, for the sake of the Royal Navy's strength: defence before opulence.*)
  2. **Defence** — protection from other nations.
  3. **Public works & institutions** — things "advantageous to a great society" but unprofitable for any individual to build: **roads, bridges, canals, and primary education** (though he preferred **tolls/fees** so users pay and providers have incentives).
- **No role in one area:** Smith saw **no** government role in **maintaining employment** — his doctrine that "saving = spending" denied there was a problem; under perfect liberty, labour simply moves to where it's demanded. This **separated monetary economics from value/growth**, dominating 19th-c. thought.
- **Backhouse's corrective:** Smith's later image as "the advocate of laissez-faire" would have **surprised his contemporaries**, who saw how much **further from that position** he was than the French. His *Wealth of Nations* is best read as a **response to Hobbes and Mandeville** (what holds a commercial society together?), approached from **moral philosophy** — not as a free-market tract. His debts are so vast that some say it "contains not a single original idea" — but it was **his synthesis** that shaped economics.

## Cases & examples

- **The pin factory.** 1 pin/day untrained vs **48,000 pins/day** for ten workers across 18 operations. → *Illustrates: the division of labour as the engine of productivity/growth.*
- **Mandeville's Fable of the Bees.** A hive thrives on vice/luxury; enforced virtue collapses it — "private vices, public benefits." → *Illustrates: the **selfishness debate** Smith inherits (and refines: self-interest works, but only **within justice**).*

- **The invisible hand (natural vs market price)**. Capital flows to above-normal-profit trades, raising supply, pushing price back to natural. → *Illustrates: self-interested action → socially beneficial outcome, unintended.*
- **The Navigation Acts**. Smith *supported* these anti-competitive shipping laws — for **naval defence**. → *Illustrates: Smith is **not** a pure laissez-faire dogmatist — "defence is of much more importance than opulence."*

## Key terms

| Term                              | Meaning                                                                             |
|-----------------------------------|-------------------------------------------------------------------------------------|
| Four-stages theory                | Societies evolve: hunting → pasture → agriculture → commerce                        |
| Sympathy / impartial spectator    | Smith's mechanism (in <i>Moral Sentiments</i> ) for how morality binds society      |
| Division of labour                | The main cause of growth; <b>limited by the extent of the market</b>                |
| Natural vs market price           | Market price (supply/demand) <b>gravitates</b> to natural price (wages+profit+rent) |
| Invisible hand                    | Self-interest under competition → unintended public benefit                         |
| Productive vs unproductive labour | Productive labour "fixes" value in a vendible commodity → capital accumulation      |
| System of natural liberty         | Free competition; the state limited to <b>justice, defence, public works</b>        |

## Exam pointers

- Explain the **division of labour + extent of the market** with the **pin factory**.
- State the **invisible hand** precisely — self-interest **under competition** and **justice** → unintended public good (and note Smith uses the phrase only once per book).
- List the **three duties of the sovereign** — the **limits** on laissez-faire — and use the **Navigation Acts** to show Smith ≠ dogmatic free-marketeer.
- Connect Smith to the debate opened by **Hobbes & Mandeville**: what holds a commercial society together? → **self-interest within justice**.

**Bridge.** Smith completes the module's arc: he **generalises** the Physiocrats' free-market conclusion beyond agriculture (all **productive labour** creates wealth), supplies the **invisible-hand mechanism** the Physiocrats lacked, and answers the **Hobbes/Mandeville** question about social order — while keeping a **framework of justice and a real (if minimal) state**.

## "Is Mercantilism Back?" — Ghani, *Modern Diplomacy* (2018)

**Source:** Muhammad Usman Ghani, "Is the Mercantilism back?", *Modern Diplomacy*, 28 Sept 2018.

## Résumé

A short opinion piece arguing that **Donald Trump's trade policy revives mercantilism** — the very doctrine the post-war order was built to bury. It's the module's "so what today": it lets you test the 16th–18th-century ideas against a live 21st-century case.

**Core argument:** tariffs and "economic nationalism" = **mercantilism reborn**. Trump's "America First," rejection of "globalization," and heavy tariffs on China (and the EU, Mexico, Canada) revive the mercantilist logic of **protecting domestic industry and running a trade surplus** — exactly what **Adam Smith** attacked and what **Bretton Woods** was designed to prevent.

- **The historical frame: mercantilism** flourished in the 16th c., never fully died; in the **1930s** fascist Italy/Germany embraced it, and tit-for-tat tariffs helped collapse world trade by ~65%, deepening the **Great Depression** (the US **Smoot–Hawley Act**). → After **WWII**, the **Bretton Woods** deal created the **IMF and World Bank** precisely to **get rid of mercantilism** and promote free trade (later the **GATT → WTO**, 1994).
- **The Smith hook (direct module link):** "*The maverick economist... Adam Smith condemned mercantilism... trade is **mutually beneficial** when countries **specialize** in producing the goods they are best at making.*" → the article's yardstick is **Smith's** argument against zero-sum trade.
- **The evidence of "mercantilism today":** tariffs on steel and Chinese goods; the **US–China trade war** (\$315bn 2017 deficit; Trump: "*Tariffs are working big time*"); **retaliation** (China on soybeans/planes/cars; Canada's 25% on \$12bn of US goods); and **immigration restriction** (the border wall) — cast as another mercantilist reflex (foreigners "consume the jobs of indigenous people").
- **The verdict (echoing Smith/Hume):** trade wars "**have not achieved their desired results**" — Smoot–Hawley deepened the Depression; Bush's 2002–05 steel tariffs brought **inflation and ~200,000 lost jobs**. Mercantilism is an "**outmoded**" policy ill-suited to an interconnected world — though the author concedes it's "earlier to predict" the outcome.

## How to use it in an exam

- As the **living test case** for the module: identify the **mercantilist markers** (tariffs on manufactures, trade-surplus obsession, economic nationalism, bullionist/zero-sum thinking) and score Trump-era policy against them.
- As the **counterpoint that proves Smith/Hume right**: the article's whole critique is Smith's (mutual gains from **specialisation/comparative advantage**) plus Hume's (protection is **self-defeating**) — a chance to show the 18th-c. arguments still do the work.
- **Nuance to flag:** Backhouse's caution applies — "mercantilism" is a **loose label**; modern protectionism isn't identical to 16th-c. bullionism (no one's stockpiling silver), but the **zero-sum, surplus-seeking, industry-protecting logic** is the same family.

## Key terms

| Term                                   | Meaning                                                                                            |
|----------------------------------------|----------------------------------------------------------------------------------------------------|
| Economic nationalism                   | Prioritising the nation's economy via protection/tariffs — mercantilism's modern face              |
| Bretton Woods (1944)                   | Post-war deal creating the <b>IMF &amp; World Bank</b> to curb mercantilism and promote free trade |
| Smoot–Hawley Act (1930)                | US tariff act that deepened the Great Depression by triggering retaliation                         |
| GATT → WTO (1994)                      | The institutions liberalising world trade "free from disputes"                                     |
| Comparative advantage / specialisation | Smith's (and Ricardo's) case that trade is <b>mutually beneficial</b>                              |

## Bridge — where it leads: Classical Political Economy (pp. 132–142) (*beyond the module's 1790 endpoint*)

The assigned range runs into **ch. 7**, past the module's "Economic Liberalism ~1790" cut-off. Brief orientation only — flag if you want this expanded into a full Module 4 later.

**Core:** after Smith, economics **separates from moral philosophy** and becomes a more "scientific," secular discipline — **classical political economy (1790–1870)**.

- **Malthus** (*Essay on Population*, 1798): population grows **geometrically**, food only **arithmetically** → a permanent tendency for population to **outstrip resources**, checked by **misery, vice**, and (2nd ed.) **moral restraint**. Used to attack utopian equality (Godwin, Condorcet) and to defend **private property**. (*Carlyle's jibe — economics as "the dismal science" — is aimed here.*)
- **Bentham & utilitarianism**: judge laws/policy by the "**greatest happiness**" (the **principle of utility**) — the philosophy of the **Philosophic Radicals** (James Mill, J.S. Mill, Ricardo).
- **Ricardo** (*Principles*, 1817): **rigorous, deductive** economics — the **theory of differential rent** (rent = the surplus of more-fertile land over the least-fertile in cultivation), the **labour theory of value**, and the claim that **landlords' interests oppose society's** (→ the case against the **Corn Laws**). Ricardo's abstraction "burnt deep scars" on economics and seeded **Marx**.
- **Say**: Smith's French interpreter; **Say's Law** — "supply creates its own demand," so no general glut is possible.

## ★ Fun facts & memorable details

Sticky bits from Module 3 (Mercantilism → Physiocrats → Smith).

## Mercantilism

- "**Mercantilism**" is a hostile nickname. No mercantilist ever called themselves one — the word was popularised by **Adam Smith (1776)** as a label for **policies he was demolishing**.
- **American silver caused inflation** — the 16th-c. "price revolution": English wheat prices rose 4–5× in a century, and the **School of Salamanca** worked out why (the quantity theory of money) *two centuries before* it's usually credited.
- London exploded from **under 50,000 people in 1500** to **~575,000 by 1700** — the age of the capital city.

## Physiocrats

- **Quesnay was a court physician** — doctor to **Madame de Pompadour** (Louis XV's mistress) — and modelled the economy on the **circulation of the blood**. "Physiocracy" literally means "**the rule of nature**."
- They were "**the first organised group of economists**" — with a journal (*Éphémérides*) and a textbook (*La Philosophie rurale*).
- The slogan "laissez-faire, laissez-passer" was popularised by **Vincent de Gournay** — a *businessman* who bought his way into public office.
- Quesnay's Tableau économique inspired **Karl Marx** — and prefigures modern national-income/input-output tables.

## Adam Smith

- The famous **pin factory**: 1 pin a day alone → **48,000 pins a day** for ten specialised workers.
- Smith used "the invisible hand" **only once** in *The Wealth of Nations* (and once in *The Theory of Moral Sentiments*) — later economists made it his emblem.
- **Smith was not a laissez-faire purist**: he backed the anti-competitive **Navigation Acts** because "*defence... is of much more importance than opulence*," and gave the state **three duties** (justice, defence, public works).
- *The Wealth of Nations* was published in **1776** — the year of the American **Declaration of Independence**.
- In his own lifetime Smith was famous for *The Theory of Moral Sentiments*, not *The Wealth of Nations* — he saw both as parts of **one** science of society.

## The article

- The **1930s** tariff wars (incl. **Smoot–Hawley**) helped shrink world trade by **~65%** and deepen the Great Depression — the cautionary tale behind Bretton Woods.
  - The **IMF and World Bank** were created at Bretton Woods (1944) *specifically* to **kill off mercantilism**.
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